for a haircut. Ten years ago, after my hair started thinning, I was paying ₹50. Now, when I have virtually no hair left, I pay ₹150 for a haircut. I struggle to determine how much of that is inflation and how much is the premium I pay the barber for the privilege of cutting the governor's non-existent hair.'

Humour, of course, is not always benign and can land you in tricky situations as I realized once while talking about financial stability. During the crisis, financial stability was an 'elephant in the room' type of issue with extensive dissection of the topic by policymakers, media analysts and academic scholars. What vexed everyone though was that a clear definition of financial stability proved to be elusive.

I was at a panel discussion in Hyderabad in August 2009 as part of the Reserve Bank's platinum jubilee celebrations where the topic of financial stability, in particular its definition, came up. I said: 'Financial instability is like pornography; you know it when you see it.' Most people thought that I had conveyed the message to great effect although some said that this was not dignified *centralbankese*.

Of all my experiments in humour, the one that got the most play was what I said about constituting a committee to advise me on whether the Reserve Bank should pay interest on the cash reserve ratio. As I wrote earlier, the Reserve Bank locks up a prescribed portion of each bank's deposits as a monetary as well as a prudential measure—to be released to the bank if ever it gets into liquidity pressure. Banks don't like this. Their grievance is that not only does the Reserve Bank lock up their money, but it doesn't even condescend to pay any interest on that! In the summer of 2012, the CRR issue heated up, with the staid but mature Pratip Chaudhuri, chairman of State Bank of India, arguing for payment of interest, locking horns with the gutsy and irascible Reserve Bank Deputy Governor K.C. Chakrabarty, himself a former commercial banker, who was totally dismissive of the idea.

The annual FICCI-IBA banking conference, usually held in September, is a premier event that brings together corporate and banking sector leaders to deliberate on issues of mutual concern. The hosts extend the courtesy of